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Japan FX

USDJPY upside risk towards July BoJ meeting

CITI'S TAKE

The BoJ is seen as certain to leave its policy rate unchanged at this meeting, so the focus will be on the press conference by BoJ Governor Kazuo Ueda. Questions are likely to focus on concerns regarding political pressure on the BoJ's independence in the draft of the government's economic blueprint. If he hews closely to the Bank of Japan Act, it would be difficult for Governor Ueda to adopt a strong tone in opposing the government's intentions by advocating for the independence of the BoJ as the central bank. We think the event risk of this meeting is biased toward JPY weakness, with another concern being apparent [wavering on the part of the Japanese government and MoF in terms of its policy on intervention to buy the JPY](#). We see potential for [upside for the USDJPY to around ¥165/\\$](#) in the near term.

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Return of BoJ Governor Ueda

The BoJ is widely expected to leave its policy rate unchanged at 1% this meeting after raising the rate at the last meeting in June. The focus will be on the regular press conference by [Governor Kazuo Ueda, who was absent from the previous meeting](#).

It is known from the Summary of Opinions from the last meeting that the participant representing the Cabinet Office was critical of an additional rate hike. We think the participant from the Cabinet Office was likely State Minister of Economy and Fiscal Policy Minoru Kiuchi. The draft of the economic blueprint released by the government included a statement requesting that the BoJ ensure its monetary policy contributes to the overall economic policy of the Takaichi government.

Given the market turmoil that followed, the government has included a statement that refers to the BoJ's independence in the blueprint. However, this was done too late. This incident has further heightened market suspicion that the Takaichi government may not respect the independence of the BoJ as the central bank.

Questions at Governor Ueda's press conference are likely to focus on this, but we do not expect Governor Ueda to advocate for the independence of the BoJ as the central bank and oppose the government's intentions in strong enough terms to allay market concerns.

Independence and autonomy of BoJ

Isaya Shimizu, a veteran journalist and member of the Editorial Board of the Nikkei newspaper, wrote in an article on July 14 that the Bank of Japan Act just states in Article 3 that "The Bank of Japan's autonomy regarding currency and monetary control must be respected," and in Article 5 that "In implementing this Act, due consideration must be given to the autonomy of the Bank of Japan's business operations", but the word "independence" does not appear in the act.

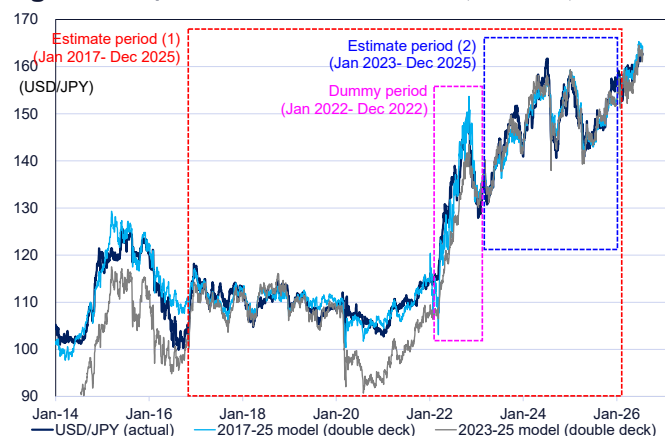
There are likely to be a lot of questions about this point at next week's press conference. However, we do not think Governor Ueda would significantly reinterpret the legislation to assert that the "autonomy" of the BoJ is in fact "independence."

Estimate based on two-tier model

[The USDJPY estimate of our two-tier model \(double-decker model\)](#) is currently around ¥163/\$ (Figure 1). The recent destabilization of the Iran situation has caused crude prices to spike again. While US interest rates are rising slowly due to expectations for tightening by the Fed, risk assets such as US and Japanese equities have remained relatively robust.

Fundamentally [the financial environment is conducive to gains by the USDJPY](#). In the past, this currency pair has repeatedly diverged both upward and downward by around ¥5/\$ from the model estimate (Figure 2). A short-term rise to around ¥165/\$ would not be particularly surprising.

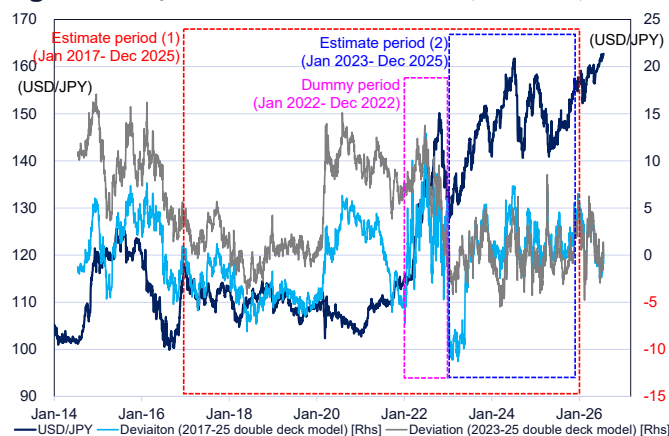
Figure 1. USD/JPY: Double-decker model (estimate)



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Source: Bloomberg, CitiFX, Citi Research

Figure 2. USD/JPY: Double-decker model (deviation)



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Poor visibility on JPY-buying intervention

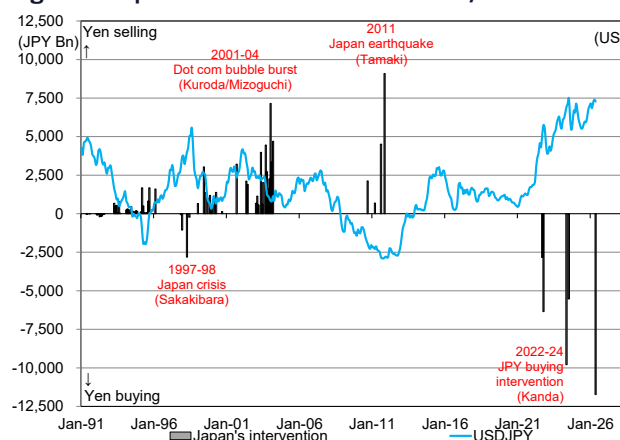
In this environment, we think intervention to buy the JPY by the Japanese government and MoF will be necessary to control the depreciation of the JPY. However, we get the impression [the determination of the Japanese authorities to intervene has wavered somewhat since June](#) (Figure 3).

We do not think there has been any major change in the stance of the Takaichi government toward the BoJ's monetary policy or the basic direction of fiscal policy since US Treasury Secretary Scott Bessent visited Japan in May. One may need to question whether US authorities have come to doubt the effectiveness of intervention under such circumstances.

G7 communiques and the like require that the relevant parties be consulted before forex intervention occurs. Even if Japanese authorities do go ahead with intervention to buy the JPY again, there could be runaway JPY depreciation if Secretary Bessent were to make a negative statement along the lines of forex intervention being ineffective if it goes against the direction of overall economic policy.

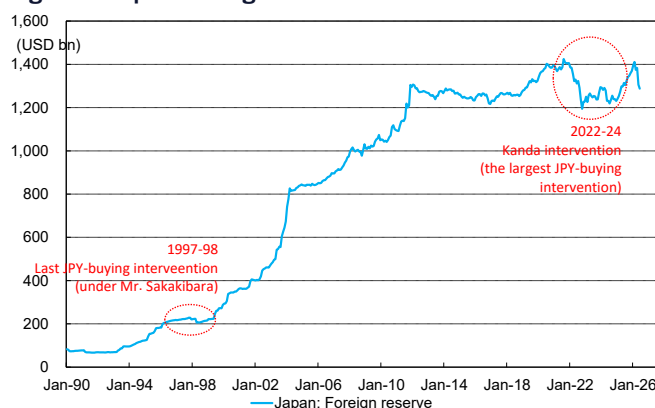
We believe [the Japanese government and the MoF could be making plans to ultimately intervene to buy the JPY on a scale of some ¥30trn, or if necessary more than that](#) in this phase (Figure 4). However, implementing this successfully would require the cooperation of the US, and to achieve this the Takaichi government may need to shift to a somewhat more refined economic policy stance.

Figure 3. Japan's FX intervention and USD/JPY



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Figure 4. Japan: Foreign reserves



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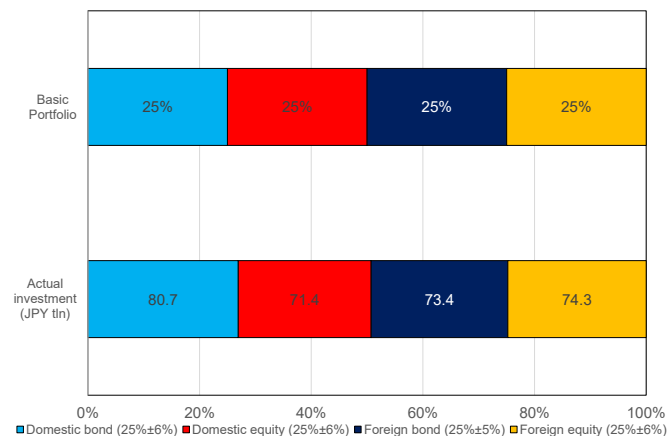
What about pension fund money?

We could read between the lines that the expression of the intention to [change the investment allocation of the GPIF and other pension funds](#) by Finance Minister Satsuki Katayama and other ministers in the Takaichi government suggests increasing difficulty for intervention to buy the JPY (Figure 5).

Nevertheless, this would be practically possible only on a limited scale that did not adversely affect the US and other overseas markets, so we do not think it would be sufficient to stop JPY depreciation or a rise in Japanese interest rates in the short to medium term.

That said, trends in trust banking accounts, which reflect investments at pension funds, reveal the constant selling of overseas assets that is seen as rebalancing and centers on foreign equities (Figure 6). Given also the recent rise in Japanese interest rates there is likely to be an increasing repatriation of Japanese pension assets to Japan led by corporate pension funds.

Figure 5. GPIF: Asset allocation

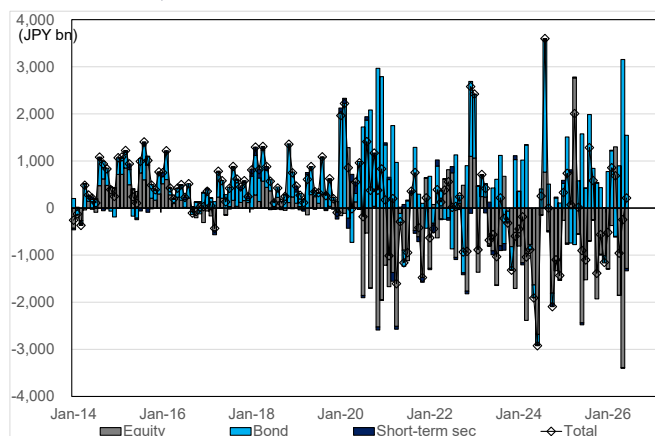


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Note: As of March 2026.

Source: GPIF, Citi Research

Figure 6. Japan: Outward foreign portfolio investment (trust bank account)



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Source: MoF, Citi Research

Near-term outlook for USDJPY

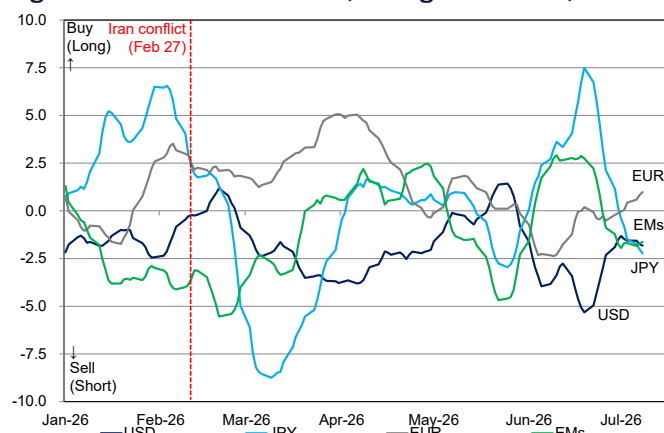
As noted above, we think the event risk for this month's MPM is on the side of yen weakness. While the probability seems low, if [BoJ Policy Board Member Toichiro Asada, who voted against the rate hike at the June meeting](#), were to propose that the policy rate be lowered back to 0.75% and Professor Ayano Sato (who is to join the Policy Board from this meeting) were to support this, uncontrollable JPY depreciation could result.

Global interest in the FOMC meeting next week (the second under Chairperson Kevin Warsh) is growing. With the Middle East situation again uncertain and crude prices climbing, the market is now pricing in a hawkish Fed risk, which typically results in rising US interest rates. Against this backdrop the USD is strengthening overall, which is spilling over to the USDJPY.

The CitiFX position indices do not indicate any major bias in the recent positions of leveraged investors (Figure 7). The only notable change is an uptrend in the USD longs of real money investors (Figure 8). This suggests major JPY longs backed by expectations for JPY-buying intervention have not been established, except perhaps among retail investors.

We do not expect major changes due to position adjustment under these circumstance, so the underlying trend in the USDJPY in the near term should continue to be strongly influenced by [JPY-sale hedging by foreign investors resulting from the strength of equities](#) as well as long-term USD-buy hedging by Japanese small and medium size enterprises (SMEs).

Figure 7. CitiFX Position Index (leveraged investors)

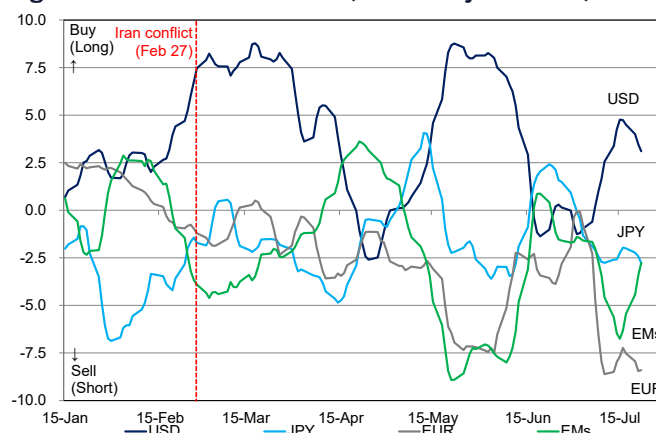


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Figure 8. CitiFX Position Index (real money investors)



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